

SENATE BILL 2206

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 9 and Title 49, relative to the federal tax credit
for contributions made to certain scholarship
granting organizations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 49, Chapter 1, is amended by adding
the following as a new part:

49-1-1301.

This part is known and may be cited as the "Federal Tax Credit Scholarship Act."

49-1-1302.

In accordance with § 25F of the Internal Revenue Code (26 U.S.C. § 25F), the
commissioner of education shall elect to participate in the federal tax credit established
under Section 70411 of Pub. L. No. 119-21 for individuals who make qualified
contributions to scholarship granting organizations and identify scholarship granting
organizations located in this state in accordance with § 49-1-1303.

49-1-1303.

(a) The department of education shall certify and submit to the secretary of the
treasury of the United States and publish on the department's website a list of
scholarship granting organizations that meet the requirements of § 25F of the Internal
Revenue Code (26 U.S.C. § 25F) and are located in this state. As part of the
submission, the department shall certify its authority to submit the list on behalf of the
state and comply with any other requirements of 26 U.S.C. § 25F, its associated
regulations, or other applicable guidance issued by the secretary of the treasury of the
United States.

(b) The department may establish rules governing the process and documentation necessary for an entity to qualify to be included as a scholarship granting organization on the list produced and submitted by the department pursuant to subsection (a) and in accordance with 26 U.S.C. § 25F, its associated regulations, or other applicable guidance issued by the secretary of the treasury of the United States. Rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(c) The department may enter into an agreement with other state departments and agencies, including the department of revenue, to meet the requirements of this section.

49-1-1304.

The department of education shall comply with all federal regulations pertaining to the administration of the federal tax credit established under 26 U.S.C. § 25F to ensure that the state is eligible to participate in taxable years beginning after December 31, 2026.

49-1-1305.

In accordance with 26 U.S.C. § 25F and any applicable federal regulation and guidance, qualifying scholarship granting organizations on the list produced pursuant to § 49-1-1303 may provide scholarships for any qualified elementary or secondary education expense, including home school expenses, to the extent allowed under federal law.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.